Let veteran state employees buy their military retirement credit at a fair price

One sentence, in one Code section: **§ 51.1-142.2**. General fund cost: **$0**.

OBJECTIVE

Amend the Virginia Retirement System so a veteran who works for Virginia can buy up to four years of military service credit at the regular price **at any point in their career** — not only in their first two years on the job.

DISCUSSION

Veterans on the state payroll may **already** buy up to four years of their military service toward their VRS pension. The price is a flat percentage of salary, set by the VRS Board.

But that price expires 24 months after their first day of work. After that, the same four years costs far more.

Three reasons that deadline is the wrong deadline:

- **It hits at the worst possible time.** Four years of credit costs about **$18,666**. The average new state hire is **37.7 years old** — just out of uniform, often taking a pay cut, and at the bottom of the state pay scale.
- **They cannot pay it off slowly.** VRS payment plans run 6 to 12 months and cannot extend past the two-year deadline. Pay fast, or lose the price for good.
- **Most never hear about it in time.** It is one line in a long statute, explained on day one with the rest of the new-hire paperwork. The average state employee stays **10.3 years** — five times longer than the window.

The result: a veteran with eight years of state service pays dramatically more for the same four years of military credit than the brand-new hire down the hall. Same service to the country, same credit, different price — and the only difference is how long they have worked for Virginia.

Who it helps: every veteran in VRS — state employees, teachers, and local government employees. **All 110,474 active Plan 1 members are already past the deadline as a matter of law.** Across all three plans, an estimated **10,600 to 26,300** veterans hold military service they could still buy.

COST

General fund cost: $0. That is structural, not a rounding. This is an employer-contribution-rate liability, amortised under the VRS Funding Policy the way VRS absorbs every other liability. No appropriation is requested.

The pension liability is real: a one-time present value of $13 million to $182 million — 5 to 68 cents out of every $100 of VRS covered payroll ($26.8 billion). The range is wide for one reason: **nobody outside VRS knows how many veterans will actually buy.** Members must fund these purchases out of their own pay, so take-up is historically low. VRS holds that data and JLCVSO has formally asked for it.

For scale, VRS has already priced a more generous bill. HB 1867 (2023) would have given teachers this same service **free**; VRS's own impact statement found **$10,000 to $60,000** of unfunded liability per participating member. Our veterans still pay — so this bill costs the Fund **less per member** than the one VRS already scored: **$6,800 to $48,000**, depending on plan.

Why the per-member cost stays modest: below about **age 47–48** a veteran buying at the regular rate pays *more* than the credit is actuarially worth, and the average new state hire is 37.7. Everyone hired since 2014 is in the Hybrid plan, where a year of credit is worth 1% of pay — so the regular price nearly covers its real cost.

> *These are JLCVSO analyst estimates from published VRS rates, covering all VRS members — not VRS figures. VRS must file an official impact statement on any VRS bill (§ 30-19.1:7). JLCVSO should ask VRS for its number before the bill is filed.*

RECOMMENDATION

Amend and reenact § 51.1-142.2 of the Code of Virginia to:

1. **Drop the two-year price deadline for military service only.** Leave it in place for every other kind of purchased service, so the bill stays narrow.
2. **Let veterans pay over up to 60 months** by payroll deduction.
3. **Give the VRS Board two guardrails:** authority to charge a published rate that varies by **age and length of service**, and authority to require the purchase be finished 12 months before retirement. These stop last-minute buying.

No regulation change is needed — the price rule is in the statute, so this takes a bill.